EQUITY RESEARCH · COMPANY DEEP DIVE

Apple Inc. (AAPL.US)

Technology · Consumer Electronics
Large Cap (>$200B) · Report Date: June 12, 2026
Latest financials: Q3 FY2025 · Model data as of 2026-06-12

UNDERWEIGHT
Blended Target: $270.44
DCF + Comps + Analyst (see cross-check table)
Implied upside: -7.6%

Price (Jun): $292.59

INVESTMENT HIGHLIGHTS

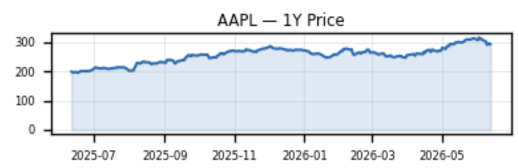
- **UNDERWEIGHT** — blended target $270.44 (-7.6% vs $292.59); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Apple Inc. (AAPL) — Technology. Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a... **UNDERWEIGHT** rating; blended target $270.44. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$4.30T	Shares Out.	14687.4M
52-Week Range	$195.07 – $317.40	P/E (TTM)	35.5x
P/B	40.3x	Beta	1.09
Avg Volume	46.66M	Analyst Rec.	Buy
Revenue (TTM)	$451.44B	Rev Growth	+16.6%
Op. Margin	32.3%	FCF (TTM)	$98.77B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	391,035	416,161	485,244	545,268	596,573
Revenue Growth (%)	N/A	6.4%	16.6%	12.4%	9.4%
Net Income ($M)	93,736	112,010	130,604	146,759	160,568
Net Income Growth (%)	N/A	19.5%	16.6%	12.4%	9.4%
Gross Margin (%)	46.2%	46.9%	47.9%	47.9%	47.9%
Net Margin (%)	24.0%	26.9%	26.9%	26.9%	26.9%
ROE (%)	164.6%	151.9%	177.1%	180.5%	188.1%
EPS ($)	6.38	7.63	8.89	9.99	10.93
Book Value / Share ($)	3.88	5.02	5.02	5.53	5.81
P/E (x)	45.85	38.37	32.90	29.28	26.76
P/B (x)	75.46	58.28	58.28	52.86	50.35
Dividend Yield (%)	37.0%	37.0%	37.0%	37.0%	37.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	$111.93	-61.7%	0% (excluded)	Diverges below other methods (40% of median)
Comps — P/E (peer median)	$243.54	-16.8%	—	Peer median P/E 29.5x
Comps — EV/EBITDA (peer median)	$212.25	-27.5%	—	Peer median 22.0x
Comps — P/S (peer median)	$301.15	+2.9%	—	Peer median P/S 9.8x
Comps — Blended (avg. of available multiples)	$243.54	-16.8%	61%	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	$312.72	+6.9%	39%	Included in blend
Blended target (weighted)	$270.44	-7.6%	100%	Comps 61% + Analyst 39%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	9.97%
Terminal g	1.50%
FCFE growth	8.30%
Base FCFE	$98.77B
PV explicit (5Y)	$494.71B
PV terminal	$1.15T
Equity value (adj.)	$1.64T
Implied price	$111.93
vs. current	-61.7%

INDUSTRY ANALYSIS

1. Industry Overview

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a line of smartphones; Mac, a line of personal computers; iPad, a line of multi-purpose tablets; and wearables, home, and accessories comprising AirPods, Apple Vision Pro, Apple TV, Apple Watch, Beats products, and HomePod, as well as Apple...

2. Key Trends

- Strong top-line growth (16.6% YoY)
- High operating leverage (32.3% margin)
- Sector: Technology | Industry: Consumer Electronics

3. Risk Factors

- Standard sector cyclicality and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
NVDA	NVIDIA Corporation	$5.01T	31.6x	29.7x	63.0%	+85.2%
GOOGL	Alphabet Inc.	$4.44T	27.8x	26.7x	37.9%	+21.8%
MSFT	Microsoft Corporation	$2.89T	23.2x	16.0x	39.3%	+18.3%
AMZN	Amazon.com, Inc.	$2.56T	31.2x	17.3x	12.2%	+16.6%
AAPL*	Apple Inc.	$4.30T	35.5x	27.2x	27.2%	+16.6%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.